Wattlebird Bank

Consumer Finance Division | Internal Strategy Memo

Rewards Portfolio: Preparing for the RBA Interchange Cap

August 2026 | CONFIDENTIAL

1. Background

From 1 October 2026 the Reserve Bank of Australia will lower the consumer credit interchange fee cap from 0.80% to 0.30%. The weighted-average interchange on our consumer credit portfolio currently sits at approximately 0.52%, meaning the effective reduction to our interchange revenue will be significant.

Our rewards suite (Wattlebird Platinum, Wattlebird Black, Wattlebird Frequent Flyer) collectively accounts for 62% of consumer credit card revenue and 41% of total cards P&L. The interchange component funds approximately $38M annually in rewards redemption costs.

2. Impact Analysis

Under the new cap, we estimate interchange revenue on the rewards portfolio will fall by $14-18M per annum. This shortfall cannot be fully absorbed by existing margins without either:

- Reducing the earn rate (points per dollar spent) by 25-35%
- Increasing annual card fees by $40-80 across tiers
- Removing or restricting secondary benefits (lounge access, insurance, concierge)
- Some combination of the above

Competitor intelligence suggests CBA and Westpac are modelling similar earn-rate reductions for Q4 2026. NAB is understood to be considering a fee-led response.

3. Customer Sentiment Risk

Our NPS among Platinum and Black cardholders is +42. Internal research (May 2026) shows that 68% of rewards cardholders cite 'points earn rate' as the primary reason for holding the card, ahead of annual fee waiver (31%) and travel insurance (27%).

A 30% reduction in earn rate without a compensating value proposition is modelled to trigger:

- 15-20% increase in churn intent among Platinum holders
- 8-12 point NPS decline within 6 months
- Negative media coverage, particularly via comparison sites (Canstar, Finder)

4. Strategic Options Under Consideration

The Consumer Finance leadership team has identified three strategic directions, not mutually exclusive:

Option A: Rebalance the value proposition
Reduce earn rate modestly (15-20%) but introduce new non-points benefits: enhanced purchase protection, lifestyle experiences, partner offers (dining, wellness). Aim to shift the value narrative from 'points per dollar' to 'membership value'.

Option B: Tiered restructure
Collapse three rewards tiers into two. Entry tier with lower fee and reduced earn. Premium tier with maintained earn rate, higher annual fee ($399), and expanded experiential benefits. Accept some base-tier churn in exchange for stronger premium retention.

Option C: Pivot to cashback
Replace points-based earning with statement credit cashback (0.5-1.0%). Lower cost-of-goods, simpler customer communication. Risk: loss of emotional engagement and Frequent Flyer partnership value.

5. Engagement Request

We are seeking external support to rapidly explore and validate which combination of these options will resonate with our customer base and can be implemented by September 30. The engagement should help us understand customer willingness to pay for non-points benefits and identify specific experiences or perks that would offset the perceived loss of points value.

Stakeholders: Sarah Chen (GM Consumer Cards), Marcus Webb (Head of Loyalty & Partnerships), Priya Kaur (Customer Experience Lead).